

One of the most common questions is: What gives a cryptoasset value? After all, these assets have no physical manifestation. Since they are born of software, the value is derived from the community and the marketplace that naturally develops around the asset. Broadly, there are two kinds of value that the community places on any kind of cryptoasset: utility value and speculative value.

Utility Value and Speculative Value

Utility value refers to the use of the cryptoasset to gain access to the digital resource its architecture provisions and is dictated by supply and demand characteristics. For bitcoin, its utility is that it can safely, quickly, and efficiently transfer value to anyone, anywhere in the world. All it takes is typing in the person's bitcoin address and clicking send, a functionality that all exchanges and wallets provide (which we cover in [Chapter 14](#)). Bitcoin's utility in sending value using the Internet is similar to that of Skype, which can safely, quickly, and efficiently transmit anyone's voice and image to anyone, anywhere in the world.

The innovative investor might say: "OK, I understand that bitcoin can have utility as MoIP, just as Skype has utility as VoIP, but how does that translate to bitcoin being worth \$1,000 a coin?" Bitcoin's utility value can be determined by assessing how much bitcoin is necessary for it to serve the Internet economy it supports. To conceptually understand how bitcoin has value, we will use a couple of simplified examples. From